



SYSTEM ANALYSIS & DESIGN

Management Information System Department
3rd Year - 2nd Semester

Lec #3

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- Where do project ideas come from?
 - A business need to build a system.
 - 1 New marketing campaign.
 - 2 New type of customer.
 - 3 Improving interactions with suppliers.
 - 4 Emerging technology.
 - “Pain” within the organization.
 - 1 Drop in market share.
 - 2 Poor customer service levels.
 - 3 Increased competition.

- BPM is a methodology used by organizations to continuously improve end-to-end business processes.
- Can be applied to internal organizational processes and to processes spanning multiple business partners.
- BPM benefits:
 - 1 Give the organization the ability to adapt more rapidly and effectively to a changing business environment,
 - 2 Improve process alignment with industry “best practices”, and
 - 3 Increase process workflows efficiencies.

- With their in-depth business knowledge, play a particularly important role in BPM by:
 - 1 Defining and mapping the steps in a business process,
 - 2 Creating ways to improve on steps in the process that add value,
 - 3 Finding ways to eliminate or consolidate steps in the process that don't add value,
 - 4 Creating or adjusting electronic workflows to match the improved process maps.

- **Business Process Automation (BPA):**

Technology components are used to complement or substitute for manual information management processes with the intent of gaining cost efficiencies.

- **Business Process Improvement (BPI):**

Results from studying the business processes, creating new, redesigned processes to improve the process workflows by utilizing new technologies.

- **Business Process Reengineering (BPR):**

Changing the fundamental way in which the organization operates. It involve substantial risk due to the significant organizational and operational changes that result.

- A person (or group) who has an interest in the system's success typically steps forward.
- Develops the initial vision of the new system.
- Works throughout the SDLC to make sure that the project is moving in the right direction from the perspective of the business.
- Serves as the primary point of contact for the project team.
- The size or scope of the project often determines the kind of sponsor who is involved.
 - Marketing,
 - Accounting,
 - Finance, or
 - Members of the IT.

- The project sponsor has the insights needed to determine the business value that will be gained from the system.
- Types of business value:
 - 1 Tangible value:
 - a Can be quantified and measured easily.
 - b 2% reduction in operating costs.
 - 2 Intangible value:
 - a Results from an intuitive belief that the system provides important, but hard-to-measure.
 - b Improved customer service, a better competitive position.

- A document that describes the business reasons for building a system and the value that the system is expected to provide.
- The project sponsor usually completes this form.
- System request five elements:
 - 1 Project sponsor,
 - 2 Business need,
 - 3 Business requirements,
 - 4 Business value, and
 - 5 Special issues.
- The completed system request is submitted to the approval committee for consideration.
 - A company steering committee that meets regularly to make information systems decisions.

Element	Description	Examples
Project Sponsor	The person who initiates the project and who serves as the primary point of contact for the project on the business side	Several members of the finance department Vice president of marketing IT manager Steering committee CIO CEO
Business Need	The business-related reason for initiating the system	Increase sales Improve market share Improve access to information Improve customer service Decrease product defects Streamline supply acquisition processes

System Request Elements ...

Business Requirements	The business capabilities that the system will provide	Provide online access to information Capture customer demographic information Include product search capabilities Produce management reports Include online user support
Business Value	The benefits that the system will create for the organization	3% increase in sales 1% increase in market share Reduction in headcount by 5*FTEs \$200,000 cost savings from decreased supply costs \$150,000 savings from removal of existing system
Special Issues or Constraints	Issues that are relevant to the implementation of the system that need to be known by the approval committee	Government-mandated deadline for May 30 System needed in time for the Christmas holiday season Top-level security clearance needed by project team to work with data

System Request for Digital Music Download Project

System Request—Digital Music Download Project

Project Sponsor: Carly Edwards, Assistant Vice President, Marketing

Business Need: This project has been initiated to increase sales by creating the capability of selling digital music downloads to customers through kiosks in our stores, and over the Internet using our website.

Business Requirements: Using the Web or in-store kiosks, customers will be able to search for and purchase digital music downloads. The specific functionality that the system should have includes the following:

- Search for music in our digital music archive.
- Listen to music samples.
- Purchase individual downloads at a fixed fee per download.
- Establish a customer subscription account permitting unlimited downloads for a monthly fee.
- Purchase music download gift cards.

System Request for Digital Music Download Project ...

Business Value: We expect that Tune Source will increase sales by enabling existing customers to purchase specific digital music tracks and by reaching new customers who are interested in our unique archive of rare and hard-to-find music. We expect to gain a new revenue stream from customer subscriptions to our download services. We expect some increase in cross-selling, as customers who have downloaded a track or two of a CD decide to purchase the entire CD in a store or through our website. We also expect a new revenue stream from the sale of music download gift cards.

Conservative estimates of tangible value to the company include the following:

- \$757,500 in sales from individual music downloads
- \$950,000 in sales from customer subscriptions
- \$205,000 in additional in-store or website CD sales
- \$153,000 in sales from music download gift cards

Special Issues or Constraints:

- The marketing department views this as a strategic system. The ability to offer digital music downloads is critical in order to remain competitive in our market niche. Our music archive of rare and hard-to-find music is an asset that is currently underutilized.
- Many of our current loyal customers have been requesting this capability, and we need to provide this service or face the loss of these customers' business.
- Because customers have a number of music download options available to them elsewhere, we need to bring this system to market as soon as possible.

Task 2: System Request

- The project is to be carried out by teams.
- In this assignment, you are going to prepare a system request for your own choice IS project.
- This assignment has three steps. They are:
 - 1 Try to visit real organization that your project related to its work if it is possible.
 - 2 Identify a problem within an existing organization that is amenable to information systems analysis techniques. If this is not possible, use your imagination to find a suitable problem. You must have your selected problem approved by the instructor.
 - 3 Study the IS discussed in the lecture, so that you can write system request document.